

Analysis and Outlook

Baseball, "America's pastime," is a *bull market sport*, i.e., it reflects the culture of a bull market in social mood. Its attendance figures ended an 89-year upward Elliott Wave pattern in 1993, which was the basis for the forecast cited at the start of this section. With a Grand Supercycle bear market due to begin now, baseball may never recover its former glory, and baseball cards may never regain their former prices.

Like vinyl record albums, baseball cards have a risk of falling in value for decades until most of those who know and love baseball are gone. This is not a forecast, but an observation of risk. If you love your cards, keep them; if you are in it for the investment, find one with more assured potential.

OUTLOOK FOR COLLECTIBLES

Two years ago, newspapers ran a number of articles describing how devastated the collectibles market had become. Some of these are reproduced on the following pages. Read them carefully for two reasons. First, these descriptions are an advance notice of what you will be reading in the not-too-distant future with respect to stocks and bonds. Second, observe the numerous references to the price drops as creating "bargains." Today, two years after these articles appeared, many collectibles prices are still near bottom and their markets are extremely dull. Nevertheless, there remains a strong belief that prices are ridiculously low and will soon soar back to former values and higher. Such sentiments are typical of first wave and "A" wave lows. A few years from now, following a "B" wave rally, the opinion that art prices are low will be recognized as having been a premature hope.

A collectible is always collectible; however, it may not always be an investment. The variables are price and liquidity. As the depression develops, the premium that collectors and investors will be able to pay for rarity and quality in collectible items will continue to shrink. The good news is that for true collectors, the upcoming bargains will present the opportunity of a lifetime. So keep your money safe, keep an eye on the items you want, and get ready to buy them at sales and auctions.